

**DEPARTMENT OF MANAGEMENT
ETHIOPIAN HIGHER EDUCATION MODEL EXIT EXAM
(BA DEGREE IN MANAGEMENT)**

Course Title: Project Management
Maximum Mark: 100%

Time Allowed: 1:00 hrs

Dear Prospective Graduates,

We have designed the following questions to assist you in preparing for your Ethiopian Higher Education Exit Exam. Please note that answering these questions does not guarantee a passing score on your exam. We strongly advise you to put in the necessary effort and dedication to achieve success.

Best of luck in your studies!

Instruction: For each of the following questions, choose the single best answer and encircle the letter of your choice on the separate answer sheet provided.

1. What is the best definition of a project?
 - A. A temporary endeavor undertaken to create a unique product, service, or result
 - B. A repetitive task performed to achieve routine goals
 - C. A long-term strategy designed to maximize organizational efficiency
 - D. An ongoing operation aimed at maintaining existing systems
2. Which of the following is NOT a characteristic of a project?
 - A. Defined objectives
 - B. Specific time frame
 - C. Repetitive nature
 - D. Unique deliverables
3. How are projects different from operations?
 - A. Projects are temporary, while operations are ongoing
 - B. Projects focus on routine tasks, while operations deal with innovation
 - C. Projects have defined objectives, while operations have undefined goals
 - D. Projects require less planning compared to operations
4. Which of the following is a feature of a project?
 - A. Predictable outcomes
 - B. Standardized processes
 - C. Continuous operations
 - D. Cross-functional teams
5. How are projects different from operations?
 - A. Projects are temporary, while operations are ongoing
 - B. Projects focus on routine tasks, while operations deal with innovation
 - C. Projects have defined objectives, while operations have undefined goals
 - D. Projects require less planning compared to operations
6. Which of the following is an example of a project?
 - A. Manufacturing widgets on an assembly line
 - B. Developing a new software application
 - C. Conducting daily maintenance tasks
 - D. Providing customer support services

7. What is the primary focus of project management?
 - A. Maximizing operational efficiency
 - B. Minimizing project costs
 - C. Achieving project objectives
 - D. Reducing project timelines
8. Which of the following is NOT a project constraint?
 - A. Scope
 - B. Time
 - C. Budget
 - D. Creativity
9. Which of the following is a characteristic of a successful project manager?
 - A. Micromanaging team members
 - B. Avoiding change and risk
 - C. Strong leadership skills
 - D. Ignoring stakeholder expectations
10. What is the purpose of project initiation?
 - A. To assign project tasks to team members
 - B. To develop a detailed project schedule
 - C. To obtain approval and support for the project
 - D. To evaluate the project's success criteria
11. What is the best definition of a project idea?
 - A. A specific objective that outlines the project's goals and deliverables
 - B. A broad concept or notion that has potential for development into a project
 - C. A detailed plan outlining the project's budget and timeline
 - D. A problem or challenge that the project aims to solve
12. Which of the following is NOT a macro source of project ideas?
 - A. Market research and analysis
 - B. Technological advancements
 - C. Competitor analysis
 - D. Individual creativity and innovation
13. Which of the following is a micro source of project ideas?
 - A. Economic trends and forecasts
 - B. Government policies and regulations
 - C. Customer feedback and suggestions
 - D. Industry benchmarks and best practices
14. What is the primary characteristic of a macro source of project ideas?
 - A. It originates from within the organization
 - B. It involves external factors and trends
 - C. It focuses on specific departments or teams
 - D. It requires extensive internal research
15. Which statement best describes the relationship between project ideas and project objectives?
 - A. Project ideas are synonymous with project objectives
 - B. Project ideas are generated after defining project objectives
 - C. Project ideas are formulated independently of project objectives
 - D. Project ideas and objectives are unrelated concepts

16. Which of the following is an example of a macro source of project ideas?
- A. Brainstorming sessions within a project team
 - B. Conducting customer surveys and interviews
 - C. Monitoring industry trends and market demands
 - D. Evaluating internal process improvements
17. What is a common challenge associated with micro sources of project ideas?
- A. Limited availability of data and information
 - B. Lack of creativity and innovation
 - C. Difficulty in aligning with organizational goals
 - D. Inadequate financial resources
18. Which of the following is NOT a recommended approach to generating project ideas?
- A. Encouraging cross-functional collaboration and idea-sharing
 - B. Conducting feasibility studies and risk assessments
 - C. Analyzing success stories and case studies in the industry
 - D. Relying solely on top management's ideas and suggestions
19. What role does feasibility play in project idea evaluation?
- A. It ensures the project aligns with organizational objectives
 - B. It determines the financial viability and potential returns of the project
 - C. It assesses the project's technical and operational feasibility
 - D. It helps prioritize project ideas based on their profitability
20. What is the significance of project identification in the project management process?
- A. It defines the project's scope and objectives
 - B. It establishes the project team and resource allocation
 - C. It determines the project's budget and timeline
 - D. It evaluates the project's success criteria and key performance indicators
21. What is the purpose of a pre-feasibility study?
- A. To assess the technical feasibility of the project
 - B. To evaluate the financial viability of the project
 - C. To analyze the market potential of the project
 - D. To identify potential risks and challenges of the project
22. The main objective of a support study is
- A. To determine the environmental impact of the project
 - B. To assess the legal and regulatory requirements of the project
 - C. To evaluate the project's social and community implications
 - D. To gather stakeholder feedback and support for the project
23. The key purpose of a feasibility study is
- A. To determine the project's profitability and financial viability
 - B. To evaluate the technical feasibility of implementing the project
 - C. To analyze the market demand and potential for the project
 - D. To assess the project's impact on the environment and society

24. What are the elements typically included in a feasibility study?
- A. Market analysis, technical analysis, and financial analysis
 - B. Risk assessment, stakeholder analysis, and project timeline
 - C. Environmental impact assessment, legal compliance, and project scope
 - D. Budget allocation, resource planning, and team structure
25. The purpose of preparing a feasibility report is
- A. To present the project idea and objectives to stakeholders
 - B. To provide a detailed analysis of the project's feasibility
 - C. To outline the project's implementation plan and timeline
 - D. To secure funding and support for the project
26. What does financial and economic analysis involve?
- A. Assessing the project's impact on the local economy
 - B. Analyzing the financial performance and profitability of the project
 - C. Evaluating the project's environmental and social sustainability
 - D. Determining the project's technical feasibility and resource requirements
27. Which financial evaluation method measures the profitability of a project by comparing the present value of cash inflows to the present value of cash outflows?
- A. Net present value (NPV)
 - B. Internal rate of return (IRR)
 - C. Payback period (PBP)
 - D. Accounting rate of return (ARR)
28. Which financial evaluation method calculates the rate of return that makes the present value of cash inflows equal to the present value of cash outflows?
- A. Net present value (NPV)
 - B. Internal rate of return (IRR)
 - C. Payback period (PBP)
 - D. Accounting rate of return (ARR)
29. Which financial evaluation method measures the time required for the project to recover its initial investment?
- A. Net present value (NPV)
 - B. Internal rate of return (IRR)
 - C. Payback period (PBP)
 - D. Accounting rate of return (ARR)
30. Which project organization structure combines functional departments with project teams?
- A. Line and Staff Organization
 - B. Divisional Organization
 - C. Matrix Organization
 - D. Projectized Organization
31. In a matrix organization, project team members report to:
- A. The project manager only
 - B. Functional managers only
 - C. Both the project manager and functional managers
 - D. The project sponsor

32. Project planning involves:
- A. Identifying project stakeholders
 - B. Defining project objectives and deliverables
 - C. Allocating project resources
 - D. All of the above
33. Project control is primarily concerned with:
- A. Preventing changes to the project scope
 - B. Managing project risks
 - C. Monitoring project progress and performance
 - D. Closing the project
34. The critical path in a project refers to:
- A. The longest path in the project network diagram
 - B. The path with the least amount of float
 - C. The path with the highest risk
 - D. The path with the most milestones
35. Which of the following is not a human aspect of project management?
- A. Team dynamics and communication
 - B. Leadership and motivation
 - C. Stakeholder engagement
 - D. Financial analysis and budgeting
36. Which of the following is a prerequisite for successful project implementation?
- A. Clear project objectives and scope
 - B. Adequate project resources and funding
 - C. Competent project team members
 - D. All of the above
37. Earned Value Analysis (EVA) is a technique used for:
- A. Evaluating project risks
 - B. Assessing project quality
 - C. Monitoring project cost and schedule performance
 - D. Analyzing project stakeholders
38. The purpose of a project closure is to:
- A. Document lessons learned
 - B. Celebrate project success
 - C. Hand over project deliverables to the customer
 - D. All of the above
39. Which of the following is an example of a project control tool?
- A. Gantt chart
 - B. Stakeholder analysis matrix
 - C. SWOT analysis
 - D. Ishikawa diagram
40. Which of the following is a key responsibility of a project manager?
- A. Developing marketing strategies
 - B. Conducting financial audits
 - C. Managing project risks and issues
 - D. Creating sales forecasts
41. Which project management process involves identifying, analyzing, and planning for potential risks?
- A. Project initiation
 - B. Project execution
 - C. Risk management
 - D. Quality control

42. What is the purpose of a project charter?
- Defining project objectives and deliverables
 - Assigning project tasks to team members
 - Monitoring project progress and performance
 - Closing the project and finalizing documentation
43. When evaluating mutually exclusive projects, the best decision is to choose the project with:
- The highest net present value (NPV)
 - The highest profitability index (PI)
 - The shortest payback period.
 - The highest internal rate of return (IRR).
44. In capital budgeting decisions, a positive net present value (NPV) indicates that:
- The project is profitable and should be accepted.
 - The project is not profitable and should be rejected.
 - The project has reached its payback period.
 - The project has a high profitability index (PI).
45. In capital budgeting decisions, a shorter payback period is generally preferred because it:
- Maximizes the net present value (NPV) of the project.
 - Minimizes the risk associated with the project.
 - Indicates a higher internal rate of return (IRR) for the project.
 - Allows for quicker recovery of the initial investment.
46. LMN Company is considering a project that has the following cash flow data. What is the project's payback?

Year	0	1	2	3
Cash flows	-\$750	\$300	\$325	\$350

- 1.91 years
 - 2.12 years
 - 2.36 years
 - 2.59 years
47. ABC Enterprises is considering a project that has the following cash flow and WACC data. What is the project's NPV?

Cost of capital: 10.00%				
Year	0	1	2	3
Cash flows	-\$1,050	\$450	\$460	\$470

- \$ 92.37
 - \$ 96.99
 - \$101.84
 - \$106.93
48. Which of the following is a common source of project finance that represents ownership in the project?
- Equity
 - Loan financing
 - Leasing
 - Grants
49. The cost of capital in project financing refers to:
- The interest rate on loans obtained for the project
 - The total budget allocated for the project
 - The average rate of return expected from the project
 - The cost of obtaining funds from various sources to finance the project

50. Public policy and regulations on financing projects primarily aim to:
- A. Restrict the availability of project finance to specific industries
 - B. Encourage private sector investment in public projects
 - C. Impose stricter lending criteria for project financing
 - D. Limit the use of equity as a source of project finance